TCS 2112

Demand and Supply

Tutorial 03

01. Identify the effect on the demand curve;

i. A decrease in consumer preferences for torches.
ii. If a torch is a normal good, an increase in consumer income.
iii. If a torch is an inferior good, an increase in consumer income.
iv. A decrease in the price of batteries used for torches.
v. An increase in the price of electric torches.

02. Explain what will happen to coffee supply in each scenario using graphs.

i. Price of coffee increases.
ii. The government provided subsidies to coffee farmers.
iii. Increase price of fertilizer used by coffee farmers.
iv. The government introduces new tax scheme on coffee producers.
v. Increase the price of tea.

03. Rice in a small town is represented by the following demand and supply equation.

$Q_d = 350 - 10P$

$Q_s = -40 + 5P$

Required;

i. Calculate the equilibrium price
ii. Calculate the equilibrium quantity
iii. Draw the demand and supply curve and illustrate the calculated equilibrium price and quantity

04. The market consists of 80 identical consumers and 40 identical producers.

- Each consumer has an individual demand function: Qd = 60- 5P
- Each producer has an individual supply function: Qs= -4 + 3P

Derive the Market Demand function, Market Supply function, and the Equilibrium Price?

05. Based on the following demand and supply schedule answer following questions.

Price	Qd	Qs
10	500	200
20	475	260
30	450	320
40	425	380
50	300	440

i. Derived demand equation.
ii. Derived supply equation.
iii. Calculate the price and quantity at the market equilibrium.
iv. Illustrate equilibrium price and quantity using graph.
v. If the market price is Rs.35, identity whether there is a shortage or surplus.